

PART ONE / THE ACCOUNTING CYCLE

Cash
Accounts receivable
Tools
Notes payable
Accounts payable
David Cohen, drawing
Repair service revenue
Advertising expense
Rent expense
Salaries expense

Among the September transactions were the following:

- Sept. 1 Performed repair work for Arden Hardware, a credit customer. Sent bill for \$1,322.
- Sept. 2 Paid rent for September, \$750.
- Sept. 3 Purchased tools with estimated life of 10 years for \$1,275 cash.
- Sept. 10 Performed repairs for Harris Drugs and collected in full the charge of \$565.
- Sept. 15 Newspaper advertising to appear on September 18 was arranged at a cost of \$275. Received bill from *Tribune* requiring payment within 30 days.
- Sept. 18 Received payment in full of the \$1,322 account receivable from Arden Hardware for our services on September 1.
- Sept. 20 David Cohen, owner of Bay Plumbers, withdrew \$1,100 cash from the business for personal use.
- Sept. 30 Paid salaries of \$3,425 to employees for services rendered during September.

INSTRUCTIONS

Prepare a journal entry (including explanation) for each of the above transactions.

PROBLEM 3A-2 Analyzing Transactions and Preparing Journal Entries

The July transactions of Auto Haus, an automobile repair shop, included the following:

- 1 On July 1, paid rent for the month of July, \$2,400.
- 2 On July 3, at request of National Insurance, Inc., made repairs on car of Stanley West. Sent bill for \$610 for services rendered to National Insurance, Inc. (Credit Repair Service Revenue.)
- 3 On July 9, made repairs to car of H. F. Smith and collected in full the charge of \$430.
- 4 On July 14, placed advertisement in *Daily Star* to be published in issue on July 16 at cost of \$150, payment to be made within 30 days.
- 5 On July 25, received a check for \$610 from National Insurance, Inc., representing collection of the receivable of July 3.
- 6 On July 31, the owner, Hans Klauder, withdrew \$3,600 cash for personal use.
- 7 On July 31, obtained a loan from bank. Received \$15,000 cash and signed a note payable for that amount.

INSTRUCTIONS

a Write an analysis of each transaction. An example of the type of analysis desired is as follows for transaction 1 above:

- 1 (a) Rent is an operating expense. Expenses are recorded by debits. Debit Rent Expense, \$2,400.
- (b) The asset Cash was decreased. Decreases in assets are recorded by credits. Credit Cash, \$2,400.

b Prepare a journal entry (including explanation) for each of the above transactions.

PROBLEM 3A-3
Preparing
Journal En-
tries, Posting,
and Preparing
a Trial Balance

In June 1994, Chris Scott organized a crop-dusting business. The company, a sole proprietorship, called Scott Crop Dusting, began operations immediately. Transactions during the month of June were as follows:

- June 1** Scott deposited \$60,000 cash in a bank account in the name of the business.
- June 2** Purchased a crop-dusting aircraft from Utility Aircraft for \$225,000. Made a \$45,000 cash down payment and issued a note payable for \$180,000.
- June 4** Paid Woodrow Airport \$2,500 to rent office and hangar space for the month.
- June 15** Billed customers \$8,320 for crop-dusting services rendered during the first half of June.
- June 15** Paid \$5,880 salaries to employees for services rendered during the first half of June.
- June 18** Paid Hannigan's Hangar \$1,890 for maintenance and repair services.
- June 25** Collected \$4,910 of the amounts billed to customers on June 15.
- June 30** Billed customers \$16,450 for crop-dusting services rendered during the second half of the month.
- June 30** Paid \$6,000 salaries to employees for services rendered during the second half of June. *→ expense → debit*
- June 30** Received a fuel bill from Henry's Feed & Fuel for \$2,510 of aircraft fuel purchased during June. This amount is due by July 10.
- June 30** Scott withdrew \$2,000 cash from the business for personal use.

The account titles and numbers used by Scott Crop Dusting were:

Cash.....	1	Chris Scott, drawing.....	43
Accounts receivable.....	5	Crop-dusting revenue.....	51
Aircraft.....	15	Maintenance expense.....	61
Notes payable.....	31	Fuel expense.....	62
Accounts payable.....	32	Salaries expense.....	63
Chris Scott, capital.....	41	Rent expenses.....	64

INSTRUCTIONS Based on the foregoing transactions:

- Prepare journal entries. (Number journal pages to permit cross-reference to ledger.)
- Post to ledger accounts. (Number ledger accounts to permit cross-reference to journal.) Enter ledger account numbers in the LP column of the journal as the posting work is done.
- Prepare a trial balance at June 30, 1994.

PROBLEM 3A-4
Assembling
Financial State-
ments from an
Adjusted Trial
Balance

Playland operates a miniature golf course on rented land within a city park. Following is the company's adjusted trial balance at December 31, 1994. The company closes its accounts at the end of each calendar year.

PLAYLAND
Adjusted Trial Balance
December 31, 1994

Cash.....		\$ 13,500	
Accounts receivable.....		2,800	
Buildings.....		60,000	\$ 12,000
Accumulated depreciation: buildings.....			30,000
Golf course structures.....		90,000	7,700
Accumulated depreciation: golf course structures.....			2,300
Accounts payable.....			108,000
Salaries payable.....			
Lynn George, capital.....			
Lynn George, drawing.....		25,000	192,000
Admissions revenue.....			
Advertising expense.....		15,000	
Rent expense.....		36,000	
Repairs expense.....		5,200	
Salaries expense.....		79,000	
Light & power expense.....		4,500	
Depreciation expense: buildings.....		6,000	
Depreciation expense: golf course structures.....		15,000	
		<u>\$352,000</u>	<u>\$352,000</u>

INSTRUCTIONS

- Prepare an income statement and a statement of owner's equity for the year ended December 31, 1994.
- Prepare a balance sheet (in report form) as of December 31, 1994.

BLEM 3A-5
Journalizing
Closing Entries

Using the adjusted trial balance presented in Problem 3A-4:

- Prepare journal entries to close the accounts. Use four entries: (1) to close the revenue account, (2) to close the expense accounts, (3) to close the Income Summary account, and (4) to close the owner's drawing account.
- Assume that in the following year, Playland again had \$192,000 of admissions revenue but expenses increased to \$200,000. Assuming that the revenue account and all the expense accounts had been closed into the Income Summary account at December 31, prepare a journal entry to close the Income Summary account.

BLEM 3A-6
Period
Closing and
Procedural
Journal
Entries

The operations of Sunset Realty consist of obtaining listings of houses being offered for sale by owners, advertising these houses, and showing them to prospective buyers. The company earns revenue in the form of commissions. The building and office equipment used in the business were acquired on January 1 of the current year and were immediately placed in use. Useful life of the building was estimated to be 30 years and that of the office equipment 5 years. The company closes its accounts monthly; on March 31 of the current year, the trial balance is as follows:

SUNSET REALTY
Trial Balance
March 31, 19__

	Debit	Credit
Cash.....	\$ 6,500	
Accounts receivable.....	5,000	
Land.....	25,000	
Building.....	72,000	
Accumulated depreciation: building.....		\$ 400
Office equipment.....	24,000	
Accumulated depreciation: office equipment.....		800
Notes payable.....		91,000
Accounts payable.....		10,000
Ellen Norton, capital.....		37,800
Ellen Norton, drawing.....	2,000	
Commissions earned.....		20,000
Advertising expense.....	900	
Automobile rental expense.....	700	
Salaries expense.....	13,300	
Telephone expense.....	600	
	<u>\$150,000</u>	<u>\$150,000</u>

INSTRUCTIONS

From the trial balance and supplementary data given, prepare the following as of March 31, 19__.

- a Adjusting entries for depreciation during March of building and of office equipment

(Building: $\$72,000 \text{ cost} \div 30 \text{ years} \times \frac{1}{12} = \text{one month's depreciation}$)
(Office equipment: $\$24,000 \text{ cost} \div 5 \text{ years} \times \frac{1}{12} = \text{one month's depreciation}$)

- b Adjusted trial balance
c Income statement and a statement of owner's equity for the month of March, and a balance sheet at March 31 in report form.
d Closing entries
e After-closing trial balance

PROBLEM 3A-7
Complete
Accounting
Cycle

April Stein, M.D., after completing her medical education, established her own practice on May 1. The following transactions occurred during the first month.

- May 1 Stein opened a bank account in the name of the practice, April Stein, M.D., by making a deposit of \$12,000.
- May 1 Paid office rent for May, \$1,700.
- May 2 Purchased office equipment for cash, \$7,200.
- May 3 Purchased medical instruments from Niles Instruments, Inc., at a cost of \$9,000. A cash down payment of \$1,000 was made and a note payable was issued for the remaining \$8,000.
- May 4 Retained by Brandon Construction to be on call for emergency service at a monthly fee of \$100. The fee for May was collected in cash.
- May 15 Excluding the retainer of May 4, fees earned during the first 15 days of the month amounted to \$1,600, of which \$600 was in cash and \$1,000 was in accounts receivable.

- May 15 Paid Mary Hester, R.N., her salary for the first half of May. \$1,000.
- May 16 Dr. Stein withdrew \$975 for personal use.
- May 19 Treated Michael Tracy for minor injuries received in an accident during employment at Brandon Construction. No charge was made as these services were covered by Brandon's payment on May 4.
- May 27 Treated Cynthia Knight, who paid \$25 cash for an office visit and who agreed to pay \$35 on June 1 for laboratory medical tests completed May 27.
- May 31 Excluding the treatment of Cynthia Knight on May 27, fees earned during the last half of month amounted to \$4,000, of which \$2,100 was in cash and \$1,900 was in accounts receivable.
- May 31 Paid Mary Hester, R.N., \$1,000 salary for the second half of month.
- May 31 Received a bill from McGraw Medical Supplies in the amount of \$640 representing the amount of medical supplies used during May.
- May 31 Paid utilities for the month, \$300.

OTHER INFORMATION

Dr. Stein estimated the useful life of medical instruments at three years and of office equipment at five years. The account titles to be used and the account numbers are as follows:

Cash.....	10	April Stein, drawing	41
Accounts receivable	13	Income summary	45
Medical Instruments	20	Fees earned.....	49
Accumulated depreciation:		Medical supplies expense.....	50
medical instruments	21	Rent expense	51
Office equipment	22	Salaries expense	52
Accumulated depreciation:		Utilities expense.....	53
office equipment	23	Depreciation expense:	
Notes payable	30	medical instruments	54
Accounts payable	31	Depreciation expense:	
April Stein, capital.....	40	office equipment	55

INSTRUCTIONS

- Journalize the above transactions. (Number journal pages to permit cross-reference to ledger.)
- Post to ledger accounts. (Use running balance form of ledger account. Number ledger accounts to permit cross-reference to journal.)
- Prepare a trial balance at May 31, 19__.
- Prepare adjusting entries to record depreciation for the month of May and post to ledger accounts. (For medical instruments, cost $\$9,000 \div 3 \text{ years} \times \frac{1}{12}$. For office equipment, cost $\$7,200 \div 5 \text{ years} \times \frac{1}{12}$.)
- Prepare an adjusted trial balance.
- Prepare an income statement and a statement of owner's equity for the month of May, and a balance sheet in report form at May 31. (As this is a new business, the first line in the statement of owner's equity should be: "Initial investment by owner, May 1, 19__, \$12,000.")
- Prepare closing entries and post to ledger accounts.
- Prepare an after-closing trial balance.

PROBLEM 3B-1
Preparing
Journal Entries

Group B

Air Wolfe provides transportation by helicopter for skiers, backpackers, and others to remote mountainous areas. Among the ledger accounts used by the company are the following:

- | | |
|------------------------|------------------------------|
| Cash | Advertising expense |
| Accounts payable | Fuel expense |
| Amy Wolfe, capital | Rent expense |
| Amy Wolfe, drawing | Repair & maintenance expense |
| Passenger fare revenue | Salaries expense |

Some of the January transactions of Air Wolfe are listed below:

- Jan. 3 Paid \$1,600 rent for the building for January.
- Jan. 4 Placed advertising in local newspapers for publication during January. The agreed price of \$520 was payable within 10 days after the end of the month.
- Jan. 15 Cash receipts from passengers for the first half of January amounted to \$9,470.
- Jan. 16 Amy Wolfe, the owner, withdrew \$3,000 cash for personal use.
- Jan. 16 Paid salaries to employees for services rendered in first half of January, \$5,265.
- Jan. 29 Received a bill for fuel used from Western Oil Company, amounting to \$1,930, and payable by February 10.
- Jan. 31 Paid \$1,642 to Stevens Aircraft for repair and maintenance work during January.

INSTRUCTIONS

Prepare a journal entry (including an explanation) for each of the above transactions.

PROBLEM 3B-2
Analyzing
Transactions
and Preparing
Journal Entries

Garwood Marine is a boat repair yard. During August its transactions included the following:

- 1 On August 1, paid rent for the month of August, \$4,000.
- 2 On August 3, at request of Kiwi Insurance, Inc., made repairs on boat of Michael Fay. Sent bill for \$4,680 for services rendered to Kiwi Insurance, Inc. (Credit Repair Service Revenue.)
- 3 On August 9, made repairs to boat of Dennis Conner and collected in full the charge of \$1,575.
- 4 On August 14, placed advertisement in *Yachting World* to be published in issue of August 20 at cost of \$95, payment to be made within 30 days.
- 5 On August 25, received a check for \$4,680 from Kiwi Insurance, Inc., representing collection of the receivable of August 3.
- 6 On August 30, sent check to *Yachting World* in payment of the liability incurred on August 14.
- 7 On August 31, Barbara Garwood, owner of Garwood Marine, withdrew \$3,500 from the business for personal use.

INSTRUCTIONS

- a Write an analysis of each transaction. An example of the type of analysis desired is as follows for transaction 1 above:
 - 1 (a) Rent is an operating expense. Expenses are recorded by debits. Debit Rent Expense, \$4,000.
 - (b) The asset Cash was decreased. Decreases in assets are recorded by credits. Credit Cash, \$4,000.
- b Prepare a journal entry (including explanation) for each of the above transactions.

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PROBLEM 3B-3
Preparing
Journal En-
tries, Posting,
and Preparing
a Trial Balance

Metro Park was organized on March 1 for the purpose of operating an automobile parking lot. Included in the company's ledger are the following ledger accounts and their identification numbers.

Cash.....	11	Tony Poletti, drawing	42
Land	21	Parking fees earned	51
Notes payable	31	Advertising expense	61
Accounts payable	32	Utilities expense	63
Tony Poletti, capital	41	Salaries expense	65

The business was organized and operations were begun during the month of March. Transactions during March were as follows:

- Mar. 1 Tony Poletti deposited \$50,000 cash in a bank account in the name of the business.
- Mar. 5 Purchased land for \$160,000, of which \$40,000 was paid in cash. A short-term note payable was issued for the balance of \$120,000.
- Mar. 6 An arrangement was made with the Century Club to provide parking privileges for its customers. Century Club agreed to pay \$1,200 monthly, payable in advance. Cash was collected for the month of March.
- Mar. 7 Arranged with Times Printing Company for a regular advertisement in the *Times* at a monthly cost of \$390. Paid for advertising during March by check, \$390.
- Mar. 15 Parking receipts for the first half of the month were \$1,836, exclusive of the monthly fee from Century Club.
- Mar. 31 Received bill for light and power from Pacific Power Company in the amount of \$78, to be paid by April 10.
- Mar. 31 Paid \$2,720 to employees for services rendered during the month. (Payroll taxes are to be ignored.)
- Mar. 31 Parking receipts for the second half of the month amounted to \$5,338.
- Mar. 31 Poletti withdrew \$2,000 for personal use.
- Mar. 31 Paid \$5,000 cash on the note payable incurred with the purchase of land. (You are to ignore any interest on the note.)

INSTRUCTIONS

- a Journalize the March transactions.
- b Post to ledger accounts. Enter ledger account numbers in the LP column of the journal as the posting work is done.
- c Prepare a trial balance at March 31.

PROBLEM 3B-4
Preparing
Closing Entries

An adjusted trial balance for Okoye Insurance Agency at December 31 appears as follows.

✓ PROBLEM 3B-7
The Accounting Cycle; a Comprehensive Problem

On November 1, 19__, Ken Ryan organized Continental Moving Company. The transactions occurring during the first month of operations were as follows:

- Nov. 1 Ryan deposited \$400,000 cash in a bank account in the name of the business.
- Nov. 2 Purchased land for \$170,000 and building for \$360,000, paying \$130,000 cash and signing a \$400,000 note payable to Secure Mortgage Company bearing interest at 9%.
- Nov. 3 Purchased six trucks from Willis Motors at a total cost of \$432,000. A cash down payment of \$200,000 was made, and a note payable was issued for the balance of the purchase price. (This note is due in 60 days and does not call for the payment of interest.)
- Nov. 6 Purchased office equipment for cash, \$24,000.
- Nov. 6 Moved furniture for Mr. and Mrs. Don Fitch from New York to Los Angeles for \$8,650. Collected \$4,850 in cash, balance to be paid within 30 days (credit Moving Service Revenue).
- Nov. 9 Moved furniture for various clients for \$32,350. Collected \$18,350 in cash, balance to be paid within 30 days.
- Nov. 15 Paid salaries to employees for the first half of the month, \$17,400.
- Nov. 25 Moved furniture for various clients for a total of \$27,000. Cash collected in full.
- Nov. 30 Salaries paid for the second half of November amounted to \$13,250.
- Nov. 30 Received a gasoline bill for the month of November from Lucier Oil Company in the amount of \$17,500, to be paid by December 10.
- Nov. 30 Received bill of \$1,250 for repair work on trucks during November by Newport Repair Company. Payment is due within 30 days.
- Nov. 30 Paid \$5,000 to Secure Mortgage Company. This \$5,000 payment included \$3,000 interest expense for November and a \$2,000 reduction in the balance of the note payable issued on November 2.
- Nov. 30 Ryan withdrew \$4,000 cash from the business for his personal use.

Estimated useful life of the building is 20 years, trucks 4 years, and office equipment 10 years. The account titles to be used and the account numbers are as follows:

Cash.....	1	Ken Ryan, capital	40
Accounts receivable.....	3	Ken Ryan, drawing	41
Land.....	11	Income summary.....	50
Building.....	12	Moving service revenue	60
Accumulated depreciation:		Salaries expense	70
building.....	13	Gasoline expense	71
Trucks	15	Repairs & maintenance expense	72
Accumulated depreciation: trucks ..	16	Interest expense.....	73
Office equipment	18	Depreciation expense: building	74
Accumulated depreciation: office		Depreciation expense: trucks	75
equipment	19	Depreciation expense: office	
Notes payable.....	30	equipment	76
Accounts payable	31		

INSTRUCTIONS

- Prepare journal entries. (Number journal pages to permit cross-reference to ledger.)
- Post to ledger accounts. (Number ledger accounts to permit cross-reference to journal.)